

underperformed the market the first three years he managed the fund, which put him behind the market by 18 percentage points.

The story is similar at the Sequoia Fund. In the marking period, Sequoia underperformed 37 percent of the time. Like Keynes, Ruane also had difficulty coming of age. “Over the years,” he confessed, “we have periodically qualified to be the Kings of Underperformance. We had the blurred vision to start the Sequoia Fund in mid-1970 and suffered the Chinese water torture of underperforming the S&P four straight years.” By the end of 1974, Sequoia was a whopping 36 percentage points behind the market. “We hid under the desk, didn’t answer the phones and wondered if the storm would ever clear.”⁴⁵ But of course the storm did clear. Seven years after inception, Sequoia had gained 220 percent, versus a gain of 60 percent for the Standard & Poor’s 500 index.

Even Charlie Munger couldn’t escape the inevitable bumps of focus investing. Over 14 years, Charlie underperformed 36 percent of the time. Like other focus investors, he had a string of short-term bad luck. From 1972 through 1974, Munger fell behind the market by 37 percentage points. Over 17 years, Lou Simpson underperformed the market 24 percent of the time. His worst relative performance, which occurred in a one-year period, put him 15 percentage points behind the market.

Incidentally, we saw the same performance trends when we analyzed our laboratory of 3,000 focus portfolios. Of the 808 portfolios that beat the market over the 10-year period, an astonishing 95 percent endured some prolonged period of underperformance—three, four, five, or even six years out of 10.

What do you think would have happened to Keynes, Munger, Ruane, or Simpson if they were rookie managers starting their careers in today’s environment, which can see only the value of one year’s performance?

Yet, following the argument that using a focus strategy will likely result in periods of underperformance, how can we tell, just using price performance as our measure, whether we are looking at a very bright investor who is having a poor year (or even a poor three years) but will do well over the long haul, or a manager who perhaps lacks the skills to be a good focus investor?